

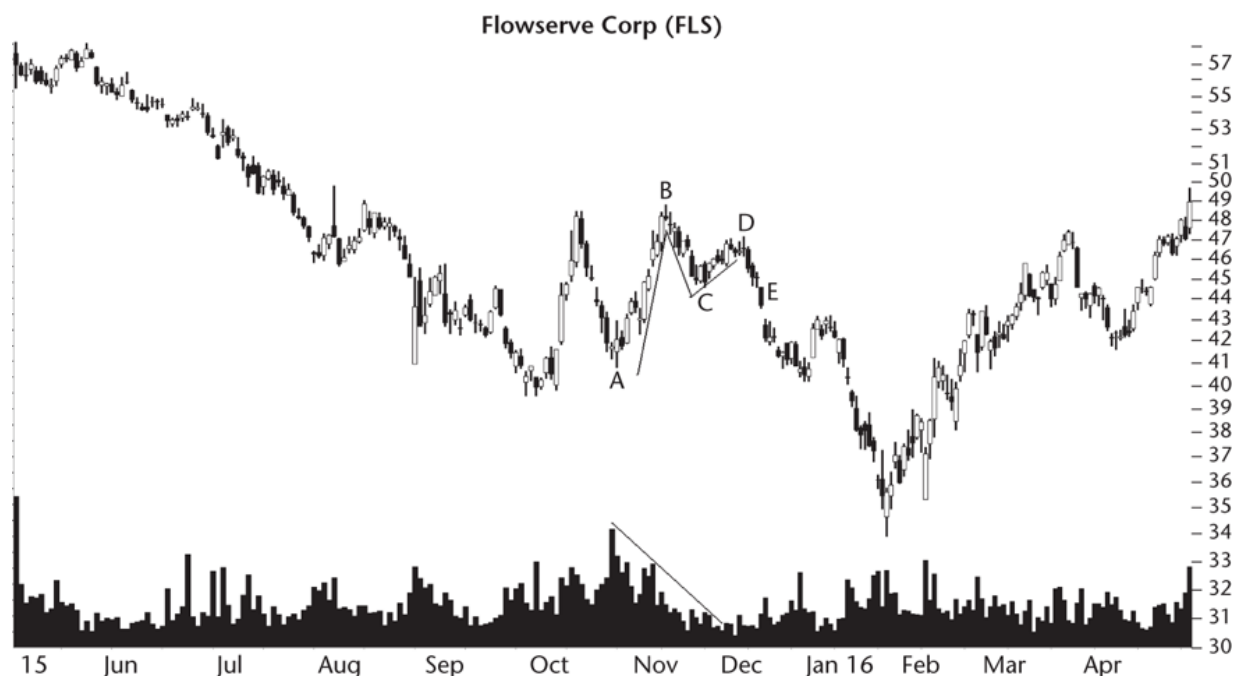


Figure 72.2 Price in this extended V-top sees the stock return to the launch price (A) before pausing.

Rise. Price at the start of the pattern (A) rises, making a straight-line run-up. That means price won't pause (much) along the way to the top at B. If it does pause, then it should be brief. Look for an upward move that's steep and swift so that on the way down you may also have a steep and swift decline (forming a V-top). That's the ideal case. Of course, we're not talking about a V-top but an extended V-top, where there *is* a pause along the way down.

I programmed my computer so that rises on the left side of the V are at least 10% and go up from there, depending on price. The average rise (from A to B) is 31%, but the median is less, 25% (all figures are for bull markets). All of this means that the rise is strong and swift.

Extension. After peaking, the stock turns lower for a time (a week or two, but I didn't measure this) before beginning a retrace against the downtrend. The retrace is the extension (CD). It lasts a median of 14 days in bull markets. Price often rises in the extension, which you can see in the figure as the stock moves from C to D.

Notice peak D remains comfortably below peak B, so there's no confusion of this being a double top.